



WHILE THE NUMBER OF LATE-STAGE DEALS HAVE GONE UP, **VCs** **ARE INVESTING** **MUCH SMALLER** **AMOUNTS IN** **MORE MATURED** **START-UPS**

Management, was quoted saying in the IVCA-Preqin Factsheet.

Meanwhile, founders are exploring alternative financial solutions—venture debt, revenue-based financing, lease finance, subscription receivable financing, and inventory financing—to survive this phase without diluting much in a down round. Nikhil Aggarwal, Founder and CEO of alternative investment platform Grip, says the company has seen an up-tick in demand over the past six months. “A noticeable change is that even more mature companies are reaching out to access alternative sources of financing. Companies that have raised over \$200-300 million in capital are now discussing these financing options,” he says.

Ankur Bansal, Co-founder and Director of venture debt firm BlackSoil, says the company has received over 60 leads in April-May 2022, which is a 100 per cent jump in its quarterly leads generation compared to previous quarters. BlackSoil’s average deal size has grown to ₹41.3 crore in the first five months of 2022 compared to ₹22.1 crore in 2021.

“I strongly feel start-ups should use a combination of equity and debt because no single pool of capital is infinite. It’s heartening to see that during the downturn, we are seeing a lot more businesses combining both to create their financing mix,” says Anurakt Jain, Co-founder and CEO of revenue-based financing

firm Klub. Jain says Klub has seen nearly 4x increase in demand for revenue-based financial solutions this year.

The learnings from the pandemic also turned out to be useful in managing this crisis. Covid-19 offered a survival playbook for start-ups involving cost reduction, operational streamlining and business pivots, which enabled resilience and growth. Most figured out innovative ways to shore up their core businesses, learnt to prioritise and minimise risks, and mastered the act of conserving cash.

Dhol of Athera is confident of Indian entrepreneurs’ grit: “If you roll back about two years to March-April 2020, the ecosystem as a whole dialled down cash burn, they cut people where required, took tough decisions in the middle of a pandemic, which is a [once-in-a-] 100-years event, and did that quite well. Yes, the markets came back much faster, it was easier on the recovery, but why would I assume the same set of entrepreneurs today won’t be able to cope with what’s not a [once-in-a-] 100-years event?” His prognosis is simple: Why will they not be able to react to an event that comes every three to five years, even if it lasts longer than pandemic-related fears?

Why not, indeed? Despite the gloom, there are sparks of optimism in the air. **BT**

\$15 bn

**The amount
of dry powder
Indian VC funds
were sitting on
as of September
2021, as per
IVCA-Preqin**

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